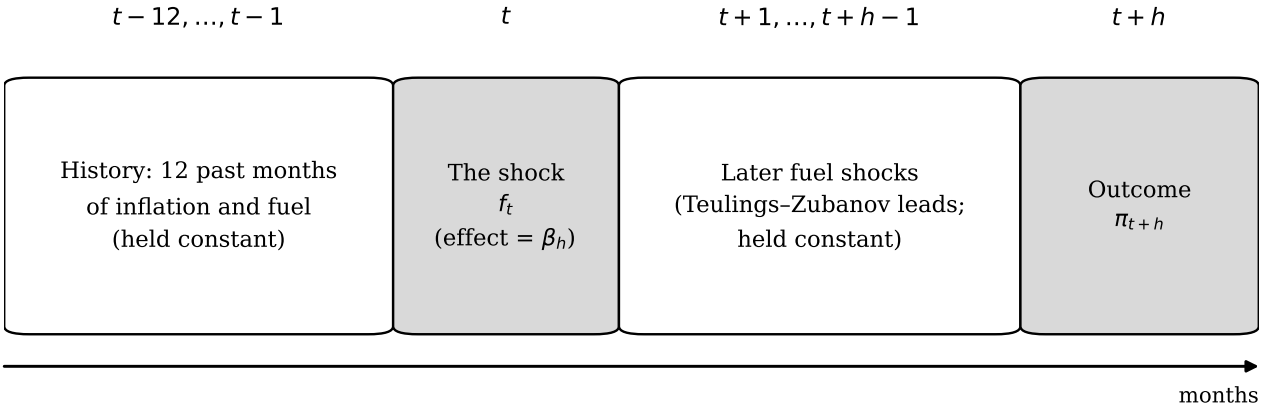
(a) What one regression uses, for a horizon h



(b) One regression for each month ahead, then assemble

$h = 0$	π_t on f_t + history	$\rightarrow \beta_0$
$h = 1$	π_{t+1} on f_t + history	$\rightarrow \beta_1$
$h = 2$	π_{t+2} on f_t + history + f_{t+1}	$\rightarrow \beta_2$
$\vdots$	$\vdots$	$\rightarrow \vdots$
$h = 12$	π_{t+12} on f_t + history + $f_{t+1}, \ldots, f_{t+11}$	$\rightarrow \beta_{12}$

Impulse response: $\beta_0, \beta_1, \ldots, \beta_{12}$ plotted against h (90% bands)
Cumulative effect on the price level: $B_h = \beta_0 + \beta_1 + \cdots + \beta_h$